

THE BUZZ

| BCI |

SUBDUED

After a warm Q2, the BT-C Fore Business Confidence Index for Q3 has cooled again, falling twice in the past four quarters. Will Q4 bring happy tidings?

BY ALOKESH BHATTACHARYYA

► **OVER THE PAST** several months, the economy—both in India and globally—has been on a roller-coaster ride, with positives and negatives intermingling to create a heady concoction of sentiments. Almost fittingly, the *Business Today*-C Fore Business Confidence Index (BCI) has mirrored this sway between hope and despair. In the January-March 2022 quarter, the index had risen to 55.2 from 48.4 in the previous quarter. In April-June 2022, it fell to 51.2. Then in July-September 2022, the BCI rose again to 52.5, only to fall again to 51.4 in the October-December 2022 quarter, the second-lowest for calendar year 2022.

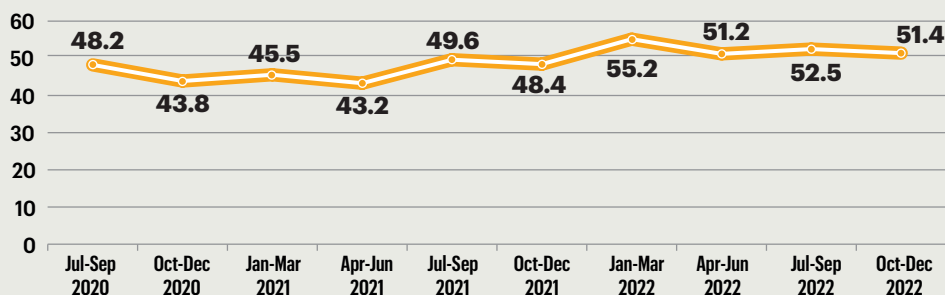
Having said that, business confidence looks to be assuredly on an upward trajectory. In the 12 quarters between calendar years 2019 and 2021, not even one had seen the BCI cross the 50 mark. In 2022, all four BCI surveys returned index values of more than 50, something that was last seen in 2015. So, overall,

business confidence appears to be improving. “There are several other indications of cautious optimism for the coming year—including the Reserve Bank of India Consumer Confidence Survey, which indicates recovering consumer confidence and improved perceptions of general economic situation, employment and household income; the S&P index shows rising industrial output and improved PMI (purchasing managers’ index, an indicator of business activity); and the IIP index is rebounding,” says Richa Roy, Partner at Cyril Amarchand Mangaldas. “A combined reading of various indices indicates cautiousness but also measured optimism for the year.”

Looking at a few individual parameters in the BCI survey for October-December, the 500 respondents of the survey were positive on overall economic conditions, financial situation of their business,

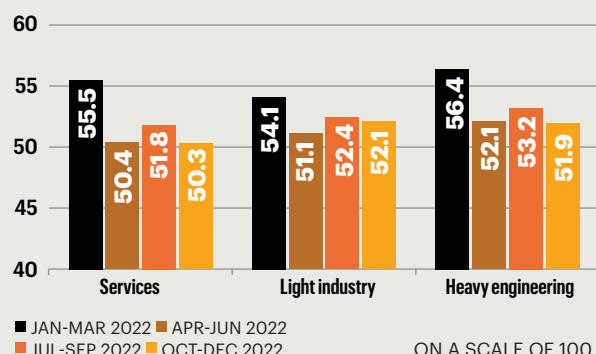
DOWN AGAIN

After peaking in Jan-March 2022, the BCI has been lying low



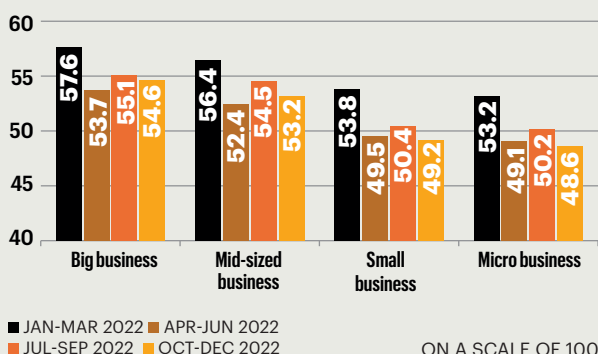
ON A SCALE OF 100

Confidence has fallen across all industry types...



ON A SCALE OF 100

...and sizes too



ON A SCALE OF 100